10. Ragul purchased machinery on April 1, 2014 for ₹ 2,00,000. On 1st October 2015, a new machine costing ₹ 1,20,000 was purchased. On 30th September 2016, the machinery purchased on April 1, 2014 was sold for ₹ 1,20,000. Books of accounts are closed on 31st March and depreciation is to be provided at 10% p.a. on straight line method. Prepare machinery account and depreciation account for the years 2014-15 to 2016-17.

(**Answer**: Amount of depreciation: 2014-15: ₹ 20,000; 2015-16: ₹ 26,000; 2016-17: ₹ 22,000; Loss on sale of 1st machine: ₹ 30,000; Balance in machinery a/c: ₹ 1,02,000).

Written down value method

11. An asset is purchased for ₹ 50,000. The rate of depreciation is 15% p.a. Calculate the annual depreciation for the first two years under diminishing balance method.

(**Answer**: Amount of depreciation I year ₹ 7,500; II year ₹ 6,375)

12. A boiler was purchased on 1st January 2015 from abroad for ₹10,000. Shipping and forwarding charges amounted to ₹2,000. Import duty ₹ 7,000 and expenses of installation amounted to ₹ 1,000. Calculate depreciation for the first 3 years @10% p.a. on diminishing balance method assuming that the accounts are closed 31st December each year.

(**Answer**: Amount of depreciation: 2015: ₹ 2,000; 2016: ₹ 1,800; 2017: ₹ 1,620)

13. A furniture costing ₹ 5,000 was purchased on 1.1.2016, the installation charges being ₹1,000. The furniture is to be depreciated @10% p.a. on the diminishing balance method. Pass journal entries for the first two years.

(**Answer**: Amount of depreciation I year ₹ 600; II year ₹ 540)

14. A firm acquired a machine on 1st April 2015 at a cost of ₹ 50,000. Its life is 6 years. The firm writes off depreciation @ 30% p.a. on the diminishing balance method. The firm closes its books on 31st December every year. Show the machinery account and depreciation account for three years starting from 1st April 2015.

(**Answer**: Amount of depreciation: 2015: ₹ 11,250; 2016: ₹ 11,625; 2017: ₹ 8,138; Balance in machinery a/c on 31-12-17 ₹ 18,987)

15. On 1st October 2014, a truck was purchased for ₹ 8,00,000 by Laxmi Transports Ltd. Depreciation was provided @ 15% p.a. under diminishing balance method. On 31st March 2017, the above truck was sold for ₹5,00,000. Accounts are closed on 31st March every year. Find out the profit or loss made on the sale of the truck.

(**Answer**: Amount of depreciation: 2014-15: ₹ 60,000; 2015-16: ₹ 1,11,000; 2017: ₹ 94,350; Loss on sale ₹ 34,650)

16. Raj & Co purchased a machine on 1st January 2014 for ₹ 90,000. On 1st July 2014, they purchased another machine for ₹ 60,000. On 1st January 2015, they sold the machine purchased on 1st January 2014 for ₹ 40,000. It was decided that the machine be depreciated at 10% per annum on diminishing balance method. Accounts are closed on 31st December every year. Show the machinery account for the years 2014 and 2015.

(**Answer**: Amount of depreciation: 2014: ₹12,000; 2015: ₹ 5,700; Loss on sale ₹ 41,000; Balance in machine a/c on 31.12.14 ₹1,38,000; on 31.12.15 ₹ 51,300).

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